CITY OF CAMBRIDGE



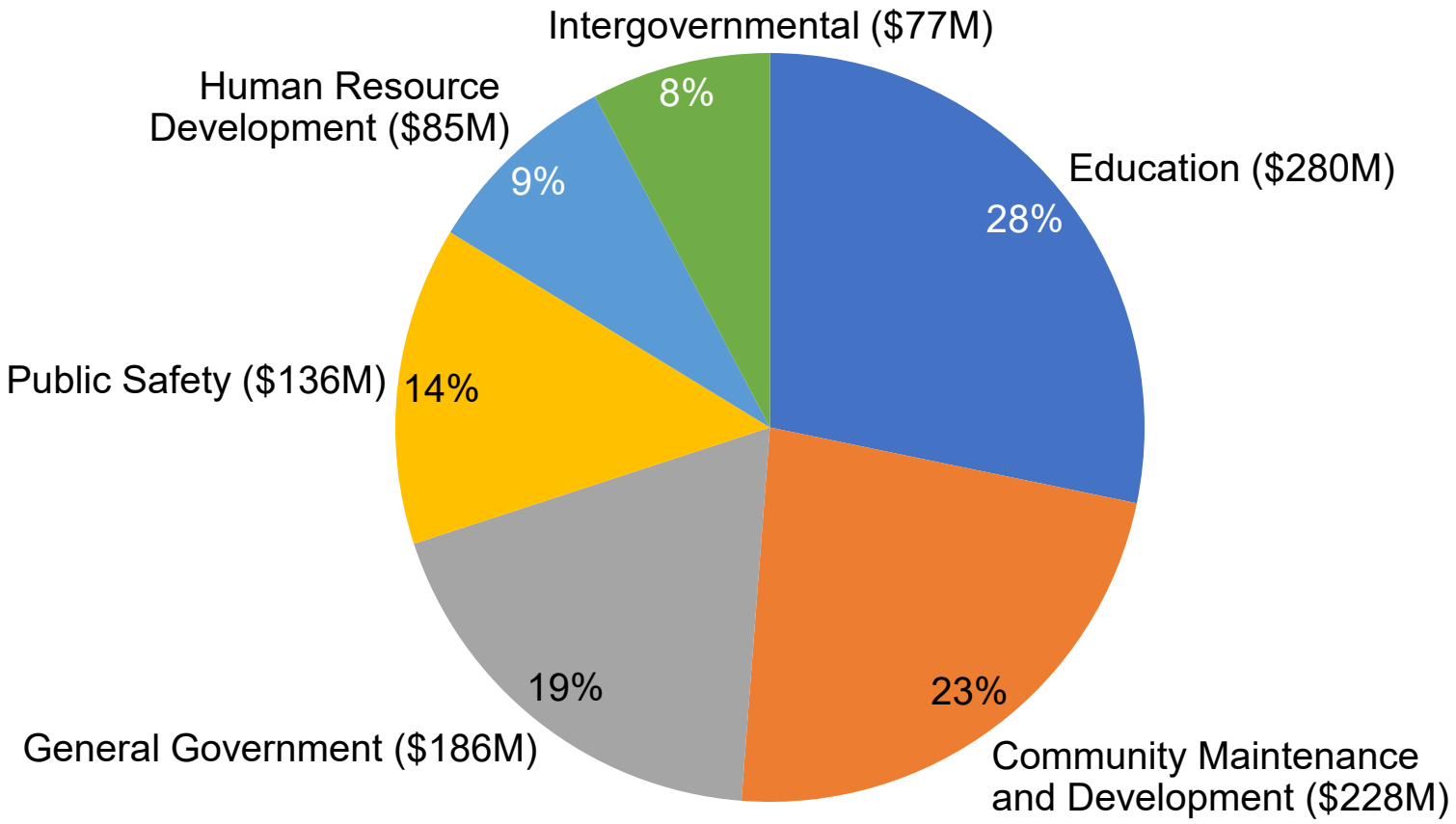
Council Prioritization and Future Budget Planning

Finance Committee

April 9, 2026

The City's FY26 operating budget totals $992M

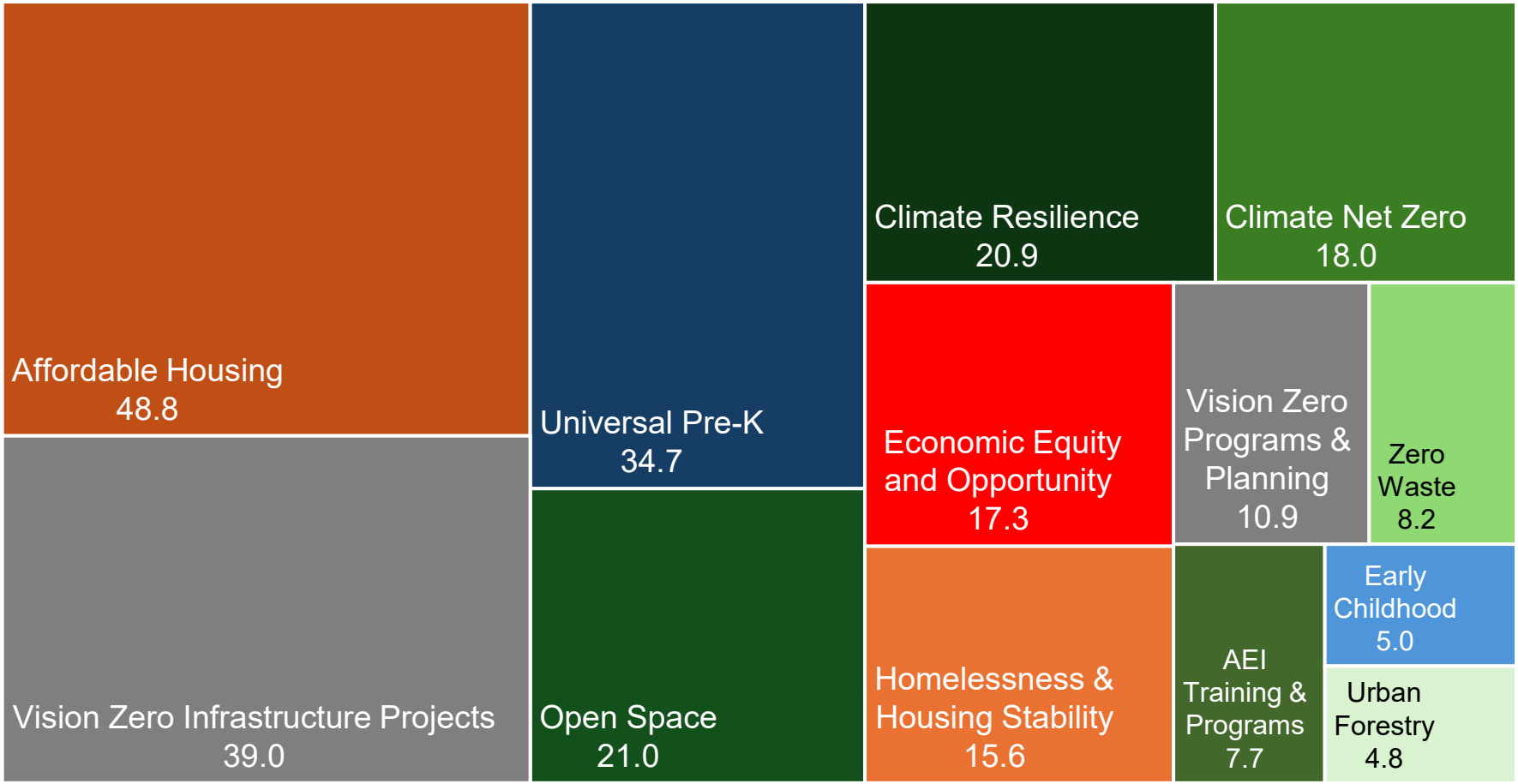
FY26 operating budget by service types
% (each service's total in $M)



The City continues to invest in Council priorities, with over $250 million in FY26

FY26 Consolidated Spending (in $M)

*Represents expenditures across multiple departments. Does not represent the entire City Budget**



*Figures show the total resources dedicated to each City priority, including City and grant funds, capital funds, Free Cash, and staff time as a percentage of salaries and benefits

Per the new charter, the Council has been developing a list of potential budget priorities for future expanded financial investment

Objective: Identify 2-3 shared Council priorities, based on Council goals, for further scoping by City staff

	Co-chairs shared a list of potential budget priorities	**Councillors discussed the list in 1st meeting**	**Co-chairs refined the list based on the 1st meeting**	**Councillors select their top four items from the list**	**Councillors convene for the 2nd meeting**
Process	• The Finance co-chairs developed and shared an initial list based on previous priorities & start-of-term check-ins with the Mayor's Office	• Councillors gave input to list and prioritization process during the Feb 25th meeting and agreed to have second meeting	• The initial list was refined based on comments from Councillors and City staff during the 1st meeting and shared via memo	• Councillors selected their top four items from the list	• The recap of initial selections by the councillors will be shared today
Output	• Draft list of potential budget priorities	• Refinements and additions to the list	• Updated list of priorities	• Tally of initial selections	• Next steps

The refined list comprises 19 items across four Council priority areas, as shown below

Listed in alphabetical order

Council Priority Areas			
A. Housing & Zoning	**B. Economic Opportunity and Equity**	**C. Transportation**	**D. Sustainability and Climate Resilience**
A1. Community Land Trust Acquisition Funding	B1. Afterschool Program Expansion	C1. Cycling Safety Ordinance Hard Builds	D1. Combined Sewer Overlay Sewer Separation
A2. Continuum of Care Grant Gaps	B2. Cambridge Preschool Program Expansion	C2. Municipal Shuttle / Fare Free Transit	D2. Distributed Thermal Energy Network (Geothermal) Expansion
A3. Social Housing Revolving Fund	B3. Community Benefits Fund & Non-profit Support		D3. Municipal Building Development
A4. Supportive Housing Expansion*	B4. Elder Care and Senior Services Expansion		D4. Residential BEUDO Funding
	B5. Food Access Programming / North Cambridge Food Pantry		D5. Tree Planting Expansion
	B6. Municipal Broadband		
	B7. Rise Up / Direct Cash Assistance		
	B8. Youth Centers Upgrades		

*Related items: Albany St. Shelter expansion, Day Center, Housing Voucher expansion, or Overdose Prevention Center

Councillors were asked to prioritize four items for scoping and future financial expansion; five items were chosen by three or more Councillors

Listed in alphabetical order

5	3	≤2
Social Housing Revolving Fund	Community Land Trust Acquisition Funding	Afterschool Program Expansion
		Cambridge Preschool Program Expansion
Supportive Housing Expansion*	Elder Care and Senior Services Expansion	Combined Sewer Overlay Sewer Separation
		Community Benefits Fund and Non-profit Support
	Rise Up / Direct Cash Assistance	Continuum of Care Grant Gaps
		Cycling Safety Ordinance Hard Builds
		Distributed Thermal Energy Network
		Municipal Broadband
		Municipal Building Development
		Municipal Shuttle / Fare Free Transit
		Food Access Programming / North Cambridge Food Pantry
		Residential BEUDO Funding
		Tree Planting Expansion
		Youth Centers Upgrades

*Related items: Albany St. Shelter expansion, Day Center, Housing Voucher expansion, or Overdose Prevention Center

Appendix – Description of Items by Council Priority Areas

Council Priority Area A: Housing and Zoning (page 1 of 2)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
A1.	**Community Land Trust Acquisition Funding**	Operating and Capital Expenses	Housing	Example: Providing operating expenses for a non-profit community land trust operation and capital funding for land acquisition. Notes: No public conversations to date. Could be included in larger conversations around housing development, preservation, and broader housing strategies.
A2.	**Continuum of Care Grant Gaps**	Operating Budget Only	Housing & Human Services	Example: Provide replacement funding for a variety of federal funding gaps beyond the current scope of the Federal Grant Stabilization Fund. Notes: Creation of a Federal Grant Stabilization Fund and regular updates from City staff on ongoing court cases and work to prevent the termination of federal grant funding. This funding is still in limbo and we will continue to discuss as developments arise.

*All paths will eventually involve Finance Committee

Council Priority Area A: Housing and Zoning (page 2 of 2)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
A3.	**Social Housing Revolving Fund**	Operating and Capital Expenses	Housing	Example: Funding the acquisition and development of a social housing portfolio. Notes: Several policy orders including POR 2025 #131 and committee conversations including Housing Committee in December 2025. Could be included in a larger conversation around housing priorities and strategies of the Affordable Housing Trust.
A4.	**Supportive Housing Expansion****	Operating and Capital Expenses	Housing & Human Services & Public Safety	Example: Creating additional housing and shelter capacity to create non-congregate and supportive shelter options, expanding the municipal housing voucher program, operating a Day Center or Overdose Prevention Center. Notes: Committee conversations including the Mayor's Task Force on Tenant Displacement, the Ad Hoc Working Group on Homelessness, and Human Services Committee on April 10, 2025 and policy orders including POR 2025 #50. Could be discussed in context of the Affordable Housing Trust and housing funding priorities. The City has recently supported the creation of 96 units of permanent supportive housing across three buildings, with $18 million of funding from the Affordable Housing Trust.

*All paths will eventually involve Finance Committee | **Related items: Albany St. Shelter expansion, Day Center, Housing Voucher expansion, or Overdose Prevention Center

Council Priority Area B: Economic Opportunity and Equity (page 1 of 5)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
B1.	**Afterschool Program Expansion**	Operating Budget Only	Human Services	Example: Expanding afterschool childcare options to offer afterschool childcare to every Cambridge child. Notes: Several policy orders including POR 2021 #210 in October 2021 and POR 2023 #59 in April 2023, and the Out of School Time (OST) Expansion Study Report in 2025. Should be combined with policy decisions around preschool programming and implementation questions. Since FY24, the City has invested ~1M annually in expanding afterschool, increasing offer rates to 89%, as of August 2025, from 76% in August 2023; further expansion could risk crowding out community programs that are partners in delivering afterschool care. In addition, the FY26 Adopted Budget included $780K to support afterschool and summer childcare through several partners, which is projected to increase to $990K in the FY27 budget (replacing expiring ARPA funds).

*All paths will eventually involve Finance Committee

Council Priority Area B: Economic Opportunity and Equity (page 2 of 5)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
B2.	**Cambridge Preschool Program Expansion**	Operating Budget Only	Human Services	Example: Expanding preschool options to offer affordable preschool programming and childcare services for more Cambridge children. Notes: Significant work on implementation of UPK for all 4-yr olds and many 3-yr olds. Numerous committee meetings and roundtable discussions including CPP Roundtable in January 2025. Still needs significant scoping and policy discussion - questions around age coverage, income scale, and budget implications over several budget cycles.
B3.	**Community Benefits Fund and Non-profit Support**	Operating Budget Only	Economic Dev	Example: Providing more funding and more flexible funding for non-profits as part of the community benefits fund, or funding small business development through business association programming, or funding or programming to assist the development of co-op business development. Notes: Amending community benefits fund standards with the Community Benefits Advisory Committee to allow for more flexible funding, conversations with business associations around small business development. Still need to get more specific about what is already happening and what else we want to accomplish.

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Council Priority Area B: Economic Opportunity and Equity (page 3 of 5)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
B4.	**Elder Care and Senior Services Expansion**	Operating Budget Only	Human Services & Economic Dev & Health and Environment	Example: Preserving and expanding senior services programming and infrastructure, including congregate and home-delivered meals, transportation, in-home supports, and a navigation function to connect older adults with available city and community resources Notes: Policy orders across multiple terms addressing senior services gaps, including a prior-term order on a Senior Center navigator/ombudsman function. Meetings in September 2025 between Councilors Simmons and Zusy with SCES and COA leadership identified service gaps in homebound care, outreach, and coordination. A January 2026 working session developed FY27 budget priorities including a navigator position, increased SCES contract funding, and a safety net contingency fund. SCES has reduced its funding for the Cambridge COA congregate meal program from approximately $182,000 annually to roughly $55,000–$63,000 effective April 2026, with additional site eliminations across Cambridge. Federal funding instability affecting Title III nutrition programs and SNAP benefits compounds the need. Should be considered in the context of the Federal Grant Stabilization Fund and broader human services planning.

*All paths will eventually involve Finance Committee

Council Priority Area B: Economic Opportunity and Equity (page 4 of 5)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
B5.	**Food Access Programming / Grocery Store**	Operating and Capital Expenses	Human Services & Economic Dev	Example: Creating additional food pantry access or a grocery store. Notes: Community conversations with the Food Pantry Network and non-profit partners to understand need and citywide coordination. Additional conversations around filling federal funding gaps due to SNAP impacts.
B6.	**Municipal Broadband**	Operating and Capital Expenses	Transportation and Public Utilities & NLTP & Health and Environment	Example: Constructing and operating a public/private partnership to install a municipal broadband network throughout the city. Notes: Broadband Task Force, work from Upgrade Cambridge, feasibility study published in March 2023.

*All paths will eventually involve Finance Committee

Council Priority Area B: Economic Opportunity and Equity (page 5 of 5)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
B7.	**Rise Up / Direct Cash Assistance**	Operating Budget Only	Human Services & Economic Dev	Example: Developing and implementing a monthly direct cash assistance program for Cambridge residents with low incomes. Notes: Two pilot programs funded through ARPA and community partners with reporting and analysis. Policy order passed in 2024 POR 2024 #131 to begin assessing feasibility of a successor program, culminating with a Human Services Committee meeting in April 2025. Questions remain on prioritization of payments: scale, timeline, lottery, resident classifications.
B8.	**Youth Centers Upgrades**	Operating and Capital Expenses	Human Services & Economic Dev	Example: Redeveloping one or more youth centers to improve programming options. Notes: Community conversations. Should be considered more fully and what goals for programming are. Could be considered in coordination with a larger conversation around municipal facilities improvements plans.

*All paths will eventually involve Finance Committee

Council Priority Area C: Transportation

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
C1.	**Cycling Safety Ordinance Hard Builds**	Mainly Capital Expenses	Transportation and Public Utilities & Health and Environment	Example: Adding additional sections of hardscape separated bicycle lanes. Notes: Policy orders including POR 2024 #152 and conversations around options to improve bicycle safety while retaining necessary on-street parking access. Should be considered in the context of an entire bicycle network and current planning and what more and better bike lanes will mean.
C2.	**Municipal Shuttle / Fare Free Transit**	Operating and Capital Expenses	Transportation and Public Utilities & NLTP	Example: Designing and operating a municipal shuttle service, or better coordinating existing city transit options, or providing funding to the MBTA for fare free bus lines. Notes: Policy orders including POR 2025 #39. Committee conversation on the Transit Gap Study in June 2025. EZRide service expansion on weekdays and weekends. Fare Free pilot program - in 2023, the City had discussions with MBTA and the City of Boston about the potential of a fare free pilot for the #1 Bus. Should consider in terms of a larger transportation planning conversation.

*All paths will eventually involve Finance Committee

Council Priority Area D: Sustainability & Climate Resilience (page 1 of 3)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
D1.	**Combined Sewer Overlay Sewer Separation**	Mainly Capital Expenses	Health and Environment	Example: Increasing the scope or speeding up the timeline for combined sewer separation programs in order to improve stormwater mitigation on a larger scale. Notes: Various committee conversations including September 2025 and policy order POR 2025 #136, the Stormwater Management Advisory Committee, significant planning by DPW staff in conjunction with Somerville and MWRA. Will include complicated technical conversations about how much more we can do in what areas and for what capital cost, as well as approval by DEP and EPA who are responsible for the overall updated Long Term Control Plan.

*All paths will eventually involve Finance Committee

Council Priority Area D: Sustainability & Climate Resilience (page 2 of 3)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
D2.	**Distributed Thermal Energy Network (Geothermal) Expansion**	Mainly Capital Expenses	NLTP & Economic Dev & Health and Environment	Example: Investing in city-scale thermal energy networks to reduce reliance on fossil fuel energy and deliver energy savings to residents and businesses. Notes: The City of Cambridge applied to a US DOE grant for the design and deployment of community-scale geothermal heating and cooling systems, which eventually was granted to Framingham. POR 2023 #85 asked the City Manager to work to develop a pilot proposal for community-scale thermal energy networks within the city, the results of which will be delivered in fall 2026.
D3.	**Municipal Building Development**	Operating and Capital Expenses	NLTP & Economic Dev & Health and Environment	Example: Investing in redevelopment of City-owned properties in order to improve City operations and consider best citywide uses. Notes: Committee discussions around MFIP planning, the Central Square Lots Study, policy orders including POR 2026 #5, and a planned Council roundtable for April 6, 2026 on municipal building planning. Need to consider needs assessment and current property conditions as well as BEUDO requirements.

*All paths will eventually involve Finance Committee

Council Priority Area D: Sustainability & Climate Resilience (page 3 of 3)

No.	Priority	Budget Implications	Committee Path*	Project narrative examples and notes
D4.	**Residential BEUDO Funding**	Operating and Capital Expenses	Health and Environment & Housing	Example: Creating a revolving fund to assist small property owners in decarbonizing residential buildings. Notes: Passing amendments to BEUDO to require building emissions reductions over time. Various committee discussions as well as recommendations by the Climate Committee to invest in residential building emissions reductions efforts. Need to understand the policy landscape around the anti-aid amendment and funding restrictions.
D5.	**Tree Planting Expansion**	Operating and Capital Expenses	Health and Environment	Example: Investing in additional capacity to install trees on city-owned property and planting on private land in coordination with other property owners. Notes: Urban Forest Master Plan 5-year updates to be drafted in 2026, several Health and Environment Committee discussions. Should be considered in the context of existing efforts and could be worked into a larger conversation about the Urban Forest Master Plan and Sustainable Cambridge.

*All paths will eventually involve Finance Committee